Life Insurance Basics

Final expense vs term vs whole life · A free plain-English guide from Money Understood · Real money. No BS.

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1. The short version

Life insurance pays a **death benefit** to the people you name (your **beneficiaries**) if you die while the policy is in force. Three common types:

- **Term life:** coverage for a set period, such as a number of years. If the term ends while you are alive, the coverage ends unless you renew or convert it.
- **Whole life:** permanent coverage meant to last your lifetime as long as premiums are paid, with a **cash value** that builds inside the policy under the contract′s terms.
- **Final expense:** usually a smaller whole life policy meant to help with end-of-life costs such as a funeral, burial, or final bills. [COMPLIANCE REVIEW]

The best fit depends on **what you want the money to do, for how long, and what you can comfortably pay**.

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2. Side-by-side comparison

General patterns only. Individual policies differ. Read the contract. [COMPLIANCE REVIEW]

	Final expense	**Term life**	**Whole life**
Built for	End-of-life costs and final bills	Covering a period of big obligations: income replacement, a mortgage, raising kids	Lifelong coverage, estate or legacy goals, or a policy with cash value

	Final expense	Term life	Whole life
How long it lasts	Typically lifetime, while premiums are paid	A set term; ends unless renewed or converted	Lifetime, while premiums are paid
Coverage size	Usually smaller face amounts	Can be large	Varies
Premiums	Often level for life	Often the lowest starting cost for a given amount of coverage, especially when younger and healthy; renewals usually cost more	Usually higher than term for the same coverage amount; often level
Cash value	Often some, because many are whole life	None	Yes, under the contract′s terms
Underwriting	Often simplified (health questions) or guaranteed issue (no health questions)	Usually health questions; may include an exam	Usually health questions; may include an exam
Watch for	Waiting periods or graded benefits on some no-health-question policies; total premiums paid over time vs the benefit	Coverage ending when you may still need it; whether it can be converted	Cost; surrender charges; how loans and withdrawals reduce the benefit

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3. Final expense insurance

What it is. A type of policy, usually whole life with a smaller face amount, marketed to help cover funeral and burial costs, medical bills, and other final expenses. [COMPLIANCE REVIEW]

How it usually works - **Simplified issue:** you answer health questions but often have no medical exam. - **Guaranteed issue:** no health questions within the insurer′s age limits. These policies often have a **waiting period or graded benefit**, meaning that if death from natural causes happens early in the policy, the payout may be limited to a return of premiums plus a stated amount instead of the full benefit. Ask exactly how this policy handles it. [COMPLIANCE REVIEW] - Age limits, coverage amounts, and pricing vary by insurer and state.

Ask yourself - What do I actually expect final costs to be, and do I already have savings or other coverage for them? - Over the years I expect to pay, how do total premiums compare with the benefit?

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4. Term life insurance

What it is. Coverage for a set period. If you die during the term, the death benefit is paid. If the term ends, the coverage ends.

How it usually works - Premiums are often level for the term you choose. - Some policies can be **renewed** at the end, usually at a higher price based on your age then. - Some can be **converted** to a permanent policy without new health questions, within a set window. Check the conversion deadline and which policies you can convert to. [COMPLIANCE REVIEW] - Term has no cash value. You are paying for coverage only.

Ask yourself - What years do the people who depend on me need protection for? - How much would replace my income or pay off the big debts? - If my health changes, would I want the option to convert?

Life insurance through work. Group life at your job is usually tied to that job. If you leave, it may end, or you may have a limited window to convert or port it. Check your benefits booklet. Do not assume it follows you. [COMPLIANCE REVIEW]

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5. Whole life insurance

What it is. Permanent coverage designed to last your lifetime as long as required premiums are paid, with a cash value component.

How it usually works - Premiums are often level and usually higher than term for the same death benefit, because the coverage is designed to last for life and builds cash value. - **Cash value** grows according to the policy's terms. Some policies may pay dividends; dividends are not guaranteed. [COMPLIANCE REVIEW] - You may be able to **borrow** against the cash value. A policy loan accrues interest, and an unpaid loan reduces the death benefit. If loans grow too large, the policy can lapse. - **Surrendering** (cancelling for cash) early may come with surrender charges and may have tax consequences.

Ask yourself - Do I need coverage for my whole life, or for a period? - Can I comfortably pay this premium for many years? - Do I understand exactly what the cash value can and cannot do?

Whole life is not an investment account and is not a substitute for an emergency fund or retirement savings. Weigh it as insurance first. [COMPLIANCE REVIEW]

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6. Things every policy has that you should read

- **Beneficiaries.** Name a primary and a contingent beneficiary, and update them after marriage, divorce, a birth, or a death. The beneficiary form generally controls who gets paid. [COMPLIANCE REVIEW]

- **Contestability period.** For a period after the policy starts, the insurer can review the application if a claim is filed. Answer every health question truthfully. [COMPLIANCE REVIEW]
- **Free-look period.** Many states give you a set number of days to review a new policy and cancel for a refund. The length varies by state. [COMPLIANCE REVIEW]
- **Grace period and lapse.** Know how long you have if a premium is late, and what happens if the policy lapses.
- **Riders.** Optional add-ons, such as accelerated death benefits or waiver of premium, each with their own rules and costs.
- **Replacement.** Be careful about cancelling an existing policy to buy a new one. You can lose benefits, restart contestability, or pay more. Many states require a replacement disclosure form. [COMPLIANCE REVIEW]

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7. Questions to ask an agent before you apply

1. Are you licensed in my state? (You can check with your state's department of insurance.)
2. Which insurers do you represent, and how are you paid on this policy?
3. Why this type, final expense, term, or whole life, for my situation?
4. What is the exact death benefit, and is any part of it limited in the early years?
5. Is the premium level for life, or can it go up? Until when?
6. What happens if I miss a payment?
7. For term: can it be renewed or converted, and until what date?
8. For whole life or final expense: what are the guaranteed values versus non-guaranteed projections? What are the surrender charges?
9. Am I replacing any existing coverage? What would I lose?
10. Can I see the full policy or a specimen contract before I sign?

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8. A simple checklist

- [ ] Write down who depends on you and what you want the coverage to pay for.
- [ ] List any coverage you already have, including group life at work.
- [ ] Decide how long you need coverage: a set period, or life.
- [ ] Set a premium you could comfortably pay for years.
- [ ] Get the policy details in writing and read the beneficiary, contestability, and free-look sections.
- [ ] Verify the agent's license with your state insurance department.
- [ ] Do not let anyone rush you.

Where to learn more (official, public)

- Your state's department of insurance (licensing lookups, consumer guides, complaint filing).
- The National Association of Insurance Commissioners (NAIC) consumer resources, including its *Life Insurance Buyer's Guide*: https://content.naic.org/

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